

MGT 101

MODULE 13

Final accounts with Adjustments.

⇒ Prep. of Final acc.

① Sole proprietor prepare 2 statements.

→ statement of P & L and ~~Other~~ Comp. Income I/S

→ statement of Financial Position Balance Sheet

② Acc. to IAS, there are 5 (five) components of financial statements.

③ I/S → to know financial performance
Profit/Loss during years

④ B/S → to know financial position
Fin. strength at the end.

⑤ Format of I/S :-

$$(a) \text{ Sales} - \text{Cost of goods sold} = \text{Gross Profit}$$

↑
(op. bal + purch - cl. bal)

$$(b) \text{ Gross profit} - \text{operating exp} = \text{operating profit}$$

$$(c) \text{ op. profit} + \text{other income} - \text{taxes} = \text{Net profit}$$

⑥ Format of B/Sheet :-

$$\begin{array}{l} \text{Assets} \\ (\text{Fix} + \text{Current}) \end{array} = \begin{array}{l} \text{O.E} \\ \uparrow \\ (\text{capital} + \text{Net-} \\ \text{profit} - \text{Drawings}) \end{array} + \begin{array}{l} \text{Liabilities} \\ (\text{long term} + \\ \text{current}) \end{array}$$

⑦ In trial balance Items has always single effect.

but,

In adjusting entries, we put double effect
1 credit 1 debit.

⑧ If cost of goods sold is already given in Trial Bal. then don't add (op. stock + purchases - closing stock) further.

⑨ There are 5 Types of expenses.

- 1- Cost of goods sold exp. (which occur during purchases).
 - 2- Administrative expenses
 - 3- Selling/marketing expenses
 - 4- Financial expenses
 - 5- Income tax expenses.
- } operating expenses.

⑩ Only COGS expenses are written in I/S for G.P and remaining are written in ~~Balance sheet~~ ^{I/S after G-P} as operating expenses.

⑪ (a) For trading company, wages are not written as COGS expense. but, they are treated as ^{operating} exp.

(b) For manufac. company, wages are written as COGS.

MODULE 14

Manufacturing Account

Diff. b/w manufacturing & trading entities:

- Trading entities purchase finished goods and sell them to customers. e.g. importers, wholesalers, etc.
- ⇒ Manufacturing entities start the process from Raw material to finished products. e.g. furniture manufacturers, etc.

- ⇒ Trading entities have 2 parts of I/S:
"Trading a/c" and "Profit & Loss a/c".

- ⇒ Manufacturing entities have 3 parts of I/S:
"Manufacturing a/c", "Trading a/c" & "Profit & Loss a/c".

They have 2 categories of cost:

Direct Cost , Indirect cost.

Direct cost:

Direct materials, Direct labour, other direct cost (cost of specific tools, maintenance of jigs, royalty at production level).

- ⇒ Direct material + Direct labour + other = prime cost.

Indirect cost:

include Factory overhead cost - e.g.
bill of workshop, depreciation of plant, rent, etc.

$$\text{prime cost} + \text{factory overhead cost} = \text{Total cost of production.}$$

Cost & expense concept:

→ cost that expires i.e., gone out for sale is expense.

→ whereas unsold, unexpired goods are assets

Therefore, in case of manufacturing entities, cost of production is not expense whether cost of goods sold is expense

Inventory types:

→ Material & supplies inventory: (raw materials, indirect materials, etc.).

→ Work in process inventory: (inventory of semi-finished goods.).

→ Finished goods inventory (inventory of finished products which are unsold.).

Format of Manufacturing entity:

→ Manufacturing a/c:

for the year ended 31st december 20x9.

Direct Material Consumed,

- (+) Op. inventory
- (+) purchases
- (-) ~~at inventory~~ return outward
- (+) return inward
- (-) cl. inventory

***** D.M.C

Direct labour

+ *****

Other direct cost

+ *****

Prime cost

(+) factory overhead cost

(+) indirect expenses
dep.
rent. etc

(+) _____ F.O.C

Total cost

op. work in process inv.

+ (****)

cl. work in process inv.

- (****)

cost of goods manufactured

⇒ Trading a/c:-

For the year ended 31st December 2019.

Sales

return inwards (-) - () | (+)

cost of goods sold

opening finished goods inv. _____

(+) cost of goods manuf. _____

(-) closing finished goods inv. () | (-)

gross profit

- ① Closing inventory is subtracted from I/S and shown in current assets.
- ② In manuf. entity "wages" is considered as Direct labour cost, whereas In trading entities "wages" is considered as an operating expense.
- ③ Direct cost means that cost which can be identified in a product.
- ④ Indirect cost means the cost that are incurred

Date: ___/___/20___

in a reporting period for overall production and cannot be identified in a single product.

~ Module # 15 ~

.....Accounting For Inventories.....

NRV (net realizable value)

- ① NRV for materials = replacement cost
- ① NRV for finished & WIP = Estimated sell price - cost of completion - cost incurred to make such sale
- ① If NRV is greater than cost, company got profit.
- ① If NRV is less than cost, company got loss.
- ① In between cost and NRV, we value our inventory with lower amount.

3 components of cost of inventory.

- 1- cost of purchase
- 2- cost of conversion.
- 3- cost incurred to bring inv. into saleable condition.

⊛ costs that are not included in the cost of inventory are recognized as expense
eg., abnormal waste, storage cost.

Inventory methods:

- ⇒ If same amount of inventory we use "Specific cost method".
- ⇒ If inventory is constantly changing, we use "FIFO method" or "Weighted average cost method".

Inventory systems:

2 systems of inventory

- 1- Periodic inventory system:
- 2- Perpetual inventory system.

Inventory as Expense:

we write inv. as Expense in 3 cases:

- 1- loss of inventory.
- 2- $\swarrow$ NRV of inventory is reduced.
- 3- Inventory sold out. we write it as cost of goods sold expense.

counting of stock in periodic at diff dates.
(reporting date)

26 dec. ————— 31 dec. ————— 5 Jan

purchases (+)

purchase return (-)

sales (-)

sales return (+)

purchase (-)

p. return (+)

sales (+)

sales return (-)



MODULE 16

..... Accounting For partnership firms.

- For sole-proprietorship, profit/loss is transferred to owners capital a/c.
- For partnership, profit/loss is moved first to profit distribution statement and then it is distributed among partners at agreed ratio.
- ⇒ Before distributing profit, we add(+) interest on drawing less(-) interest of capital less(-) profit sharing ratio from net profit.
- ⇒ Difference of profit sharing is because of 3 reasons.
 - (i) Amount of capital
 - (ii) Performance of service (salary).
 - (iii) experience -- ratio.

Goodwill: It is the outcome of an impression created in the minds of each customer or related person. It is an aggregate of those intangible attributes of a business that contributes to the superior earning capacity of business.

valuation of goodwill:

Goodwill is calculated by 3 methods:

1. Average profit method:

$$\frac{\text{Total profit of subsequent years}}{\text{total years}} = \text{average profit.}$$

then $\text{avg. profit} \times \text{times} = \text{goodwill.}$

2. Super profit method:

$$1. \text{ Capital} = ?$$

$$2. \text{ Normal profit} = \text{Capital} \times \text{rate of return.}$$

$$3. \text{ average profit} - \text{normal profit} = \text{super profit.}$$

$$4. \text{ Super profit} \times \text{no. of times / years} = \underline{\text{goodwill.}}$$

3 - Market capitalization methods-

$$1 - \frac{\text{Average profit}}{\text{market rate}} \times 100 = \text{value.}$$

$$2 - \text{capital (net assets)} - \text{value}^{\nearrow} \text{calculated} = \text{goodwill.}$$

goodwill premium:

The amount that incoming partner pay for goodwill is goodwill premium.

① 3 scenarios are for treating goodwill.

- Goodwill retained as asset

(when partner dont have cash with him).

goodwill — dr.

Partner's a/c — cr and goodwill is distributed acc to their profit sharing ratio.

- goodwill raised & written-off

(when partner dont take cash and old partner take that amount).

entry

Capital acc.s — Cr.

goodwill — Dr.

'acc. to new ratio.

← Premium brought in cash :-

(when partner take goodwill with him).

Then premium is shared b/w old partners with sacrificing ratio.

- ① only for distribution of goodwill premium, we use sacrificing/gaining ratio.
- ② goodwill premium = goodwill $\times$ new partner share.

Revaluation of assets & liabilities:

at the admission of new partner,

we make change in values of assets

& liabilities according to market value.

Module 17

..... Company Financial Statements...

Acc. to IFRS, companies prepare following set of reports as final account:

- 1- Statement of Financial Position (Balc. Sheet).
- 2- Statement of Profit & Loss and other comprehensive income.
- 3- Statement of changes in equity
- 4- Statement of cash flow
- 5- Notes.

⊙ SOFP (Balance Sheet).

Marshalling: grouping of Assets done on the basis of permanency order is called marshalling.

⇒ As per IAS-1 Assets are classified as:

1- Non-current Assets

(a) Fixed assets

(i) Tangible fixed assets (property, plant)

(ii) Intangible fixed assets (Trademark, patent)

(b) other Non-current Assets

2- Current Assets.

① SOPL and OCI (Income Statement).

As per IAS 1, 2 methods to prepare IS:

1. Function of expenses method.
2. Nature of expenses method.

Function of expenses method:

5 types of expenses:

1. Cost of sales, Administrative, selling, Financial, Income tax.

Income groups

Sales revenue (operating income)

other incomes (non-operating).

⇒ After tax cutting, profit is added in OCI, which show unrealized gain/loss.

FORMAT OF SOPL & OCI

Sales revenue

less cost of goods sold

gross profit

less operating expenses

Administrative expenses

Selling expenses.

profit from operations.

add other income
 less financial expenses
 profit before tax
 less income tax expense
profit after tax.

OCI

profit after tax

add © Items that will not be reclassified to I/S.

Gain/revaluation of fix Assets

Remeasurement of investments in equity

Actuarial Gain/loss on defined benefit plan.

add. © Items that may reclassified to I/S.

Foreign exchange gain/loss

Cash flow Hedges

Total Comprehensive Income

① Statement of Changes in equity:

This statement is concerned about owner's changes in equity.

- Accumulated OCI is a general ledger a/c.
- Items that will not be reclassified to I/S; once a gain/loss in this part is realized, it is shifted out from acc. OCI & posted to → retained earnings a/c.
- Items that may be reclassified to income statement, once a loss/gain in this part is realized, it is shifted out from Acc-OCI & posted as a separate line item in I/S.

Format of St. of Changes in Equity

	SOCE		Revaluation reserve	Acc. OCI	Ret. profits
	Share capital	Share premium			
opening balance	***	***	***	***	***
revaluation of assets	*	*			
Transferred on disposal					
For the year					
Dividend paid					
Bonus share					

Module 18Statement of Cash Flow

prepared to analyze all cash receipts (inflow) and cash payments (outflow) based on 3 activities:

- 1- operating activity
- 2- Investing activity
- 3- Financing activity.

Format:

For the year ended, 30th June 20x9,

operating activity

- add Cash generated from operations.
- add Cash received from interest / Dividends
- less Cash paid for interest / financial charges
- less Cash paid for income tax.

Investing activity

- less Cash paid for purchase of non-current assets.
- add Cash received from disposal " " "

Financing activity

add Cash received from owner as equity
less Cash paid to owner as drawings / dividends
add Cash received as loan.
less Cash paid for repayment of loan
less Cash paid for redemption of loan certif.
(finalizing) Net cash inflow/outflow during year.
add + opening cash & cash equivalents.
⇒ closing cash & cash equivalent.
